

investment and is a major factor in any quantitative analysis of the trade. Consider the following example:

- You are a Swiss-based investor buying 1,000 shares of IBM in May 2007 at exactly US\$100 each.
- The exchange rate is about 1.21, so you have to exchange 121,000 CHF to pay for the purchase.
- Three and a half years later the price of IBM is up to 122 and you would like to sell and take home your 22% gain.
- The exchange rate now is about 1.01.
- When you sell your IBM stocks for US\$122,000 and then exchange it back to Swissie, you only have 123,000 Swissie left, leaving barely enough to pay for commissions.

This is an age-old problem with cash equities strategies where one needs a strategy for whether to hedge all currency risks, run an overlay currency trading on top of the strategy or simply accept all currency exposure. With futures, the situation is quite different.

When you open a futures position, no money actually changes hands except from your commission fees. What you opened is just a commitment to buy or sell something at a future time. As mentioned, an overwhelming majority of all futures contracts are of course closed out by taking an offsetting position before it is time to buy or sell, but that is beside the point here. The fact that no money changes hands on initiation of the position means that you have much less foreign exchange risk than you do with cash instruments. Consider a similar example to the IBM trade above:

- You are a UK-based investor buying 10 contracts of the big Nasdaq futures at the price of US\$2,000. The exchange rate at the time of purchase is 1.56, but that is in fact almost irrelevant.
- You close the position by selling offsetting contracts at the price of US\$1,834 just a few weeks later.
- Now your loss is US\$166,000, which you calculate by taking the price difference of 166 points, multiplying by the point value (which in the case of the Nasdaq contract is 100) and finally multiplying by the number of contracts held, to end up at US\$166,000.
- The exchange rate at the time of closing the position is 1.44 and so your loss in your own currency ends up at more or less £115,300, and the exchange rate at the time of opening the position has no actual bearing on this number.